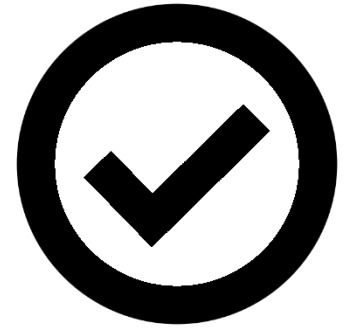


**BUSINESS
PROFESSIONALS**
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Giving Purpose to Potential



MANAGERIAL ACCOUNTING (135) **STATE 2021**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points)	_____	(30 points)
Short Answers (10 @ 1 points)	_____	(10 points)

APPLICATION KNOWLEDGE:

Problem 1: Cost of Production Rt (32 @ 1 point)	_____	(32 points)
Problem 2: Cost of Goods Sold St (30 @ 1 point)	_____	(30 points)
Problem 3: Variances (29 @ 1 point)	_____	(29 points)

<i>TOTAL POINTS</i>	_____	<i>(131 points)</i>
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Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice (15 @ 2points) 30 points

- | | | |
|------|-------|-------|
| 1. A | 6. A | 11. A |
| 2. D | 7. D | 12. B |
| 3. D | 8. B | 13. C |
| 4. B | 9. A | 14. C |
| 5. C | 10. B | 15. A |

Short Answer (10 @ 1 point) 10 points

- | | |
|-------|-------|
| 16. M | 21. O |
| 17. P | 22. P |
| 18. O | 23. P |
| 19. O | 24. O |
| 20. M | 25. O |

Problem 1: Cost of Production Report

Graders – 1 point for each bolded number for a total of 32 points.

Prepare a Cost of Production Report for the Mixing Department at Miller International Corporation by filling in the shaded boxes. Miller uses an average process cost accounting system. Material is added at the beginning of production. Here is the information needed for June. When units are completed, they're transferred to the cooking department.

Beginning Inventory	10,000 units	Added this period	30,000 units
Material	\$19,000	Material	\$61,000
Labor	\$10,000	Labor	\$40,000
Overhead	\$20,000	Overhead	\$80,000

The mixing department completed 25,000 units. The ending inventory was 1/3 complete.

Miller International Corporation Cost of Production Report - Mixing Dept. For the Month Ended June 30, 2021				
	Whole Units			
Units charged to production:				
Beginning units	10,000			
Started this month	30,000			
Total units to account for	40,000			
		Equivalent Units		
		<u>Direct Mat</u>	<u>Conversion</u>	
Units to be assigned cost:				
Transferred out this month	25,000	25,000	25,000	
Ending WIP	15,000	15,000	5,000	
Total units to be assigned cost	40,000	40,000	30,000	
		Costs		
Costs		Direct Mat	Conversion	Total Costs
Unit costs:				
Costs of Beginning WIP		19,000	30,000	49,000
Costs incurred this period		61,000	120,000	181,000
Total costs		80,000	150,000	230,000
Total equivalent units		40,000	30,000	
Cost per equivalent unit		2.00	5.00	
Costs allocated for completed and partial units:		Material	Conversion	Total
Transferred out this month		50,000	125,000	175,000
Ending Inventory		30,000	25,000	55,000
Total Transferred and Ending Inv.				230,000

Problem 2: Cost of Goods Sold Statement

Grader - 1 point for each title and number for a total of 30 points

Using the information below for March, calculate the Cost of Goods Sold for the period:

Purchases	60,000
Beginning Raw Materials Inventory	25,000
Ending Raw Materials Inventory	30,000
Beginning Work in Process Inventory	55,000
Ending Work in Process Inventory	64,000
Beginning Finished Goods Inventory	80,000
Ending Finished Goods Inventory	67,000
Direct Labor	80,000
Applied Overhead is 300% of Direct Labor	

Cost of Goods Sold Statement For the month ended March 30, 2021		
Beg. WIP		55,000
Beg. RM Inv	25,000	
Plus Purchases	60,000	
Material Available for Use	85,000	
Less Ending RM Inventory	-30,000	
Direct Material Used		55,000
Direct Labor		80,000
Overhead		<u>240,000</u>
Manufacturing Cost Available		430,000
Less Ending WIP		<u>-64,000</u>
Cost of Goods Manufactured		366,000
Plus Beg. Finished Goods Inventory		<u>80,000</u>
Cost of Goods Available for Sale		446,000
Less Ending Finished Goods		<u>-67,000</u>
Cost of Goods Sold		<u>379,000</u>

Problem 3 – Variances

Grader – 1 point for each bolded item and 1 point for each account correctly identified as a variable or fixed cost, for a total of 29 points.

Calculate the Flexible Budget Performance Report.

	Actual	Flexible Budget
Sales	100,000	88,000
Direct Materials	30,000	28,000
Direct Labor	15,000	13,000
Indirect Materials	16,000	17,000
Property Tax	7,000	9,000
Depreciation	5,000	6,000
Property Insurance	1,000	1,500
Office Salaries	5,000	4,000

Flexible Budget Performance Report

	Actual	Flexible Budget	Flexible Budget Variance	(U or F)
Sales	100,000	88,000	12,000	F
Variable Costs:				
Direct Material	30,000	28,000	2,000	U
Direct Labor	15,000	13,000	2,000	U
Indirect Materials	16,000	17,000	1,000	F
Contribution Marg.	39,000	30,000	9,000	F
Fixed Costs:				
Property Tax	7,000	9,000	2,000	F
Depreciation	5,000	6,000	1,000	F
Property Insurance	1,000	1,500	500	F
Office Salaries	5,000	4,000	1,000	U
Income from operations	21,000	9,500	11,500	F